

INDIAN ECONOMY

LEVEL
II



LECTURES

- KERALA, GUJARAT, TN MODELS
- DISCONNECT BETWEEN JOBS AND GDP GROWTH

MODULE - 19



TWO PROMINENT GROWTH MODELS

1 JAGDISH BHAGWATI THEORY

- It makes a case for a trickle down approach.
- The idea is growth will translate into development, as it provides surplus resources for human development.



2 JEAN DRÈZE - AMARTYA SEN MODEL

They argue for a capability centered developmental path, where investments in human capabilities will lead to economic development.



THE GROWTH MODELS IN REALITY

MAHARASHTRA AND GUJARAT MODEL

Productive dynamism in Maharashtra and Gujarat has not been accompanied by commensurate improvements in the human well-being.



This is based on Jagdish Bhagwati theory.

KERALA AND HIMACHAL PRADESH MODEL

They have attained better levels of human development, but that has not been backed by adequate dynamism in the productive capacity.



This is based on Jean Drèze - Amartya Sen theory.



TAMIL NADU CASE IS DIFFERENT FROM KERALA AND GUJARAT!

- It has managed to combine relatively high levels of human development with economic dynamism.
- This trajectory can be explained through the pattern of political mobilization in the State.
- Populist political mobilization against caste-based inequalities accompanied by a political emphasis on inclusive modernization have been critical to this process.

Tamil Nadu emphasized primary education as early as 1950s, and gradually shifted its emphasis towards higher education. Noon meal scheme goes back to the Justice Party Government in the early 20th century.

JOBS AND GDP GROWTH DO NOT HAVE MUCH CONNECTION TODAY!

- This is the reality for the past two decades or so. The Governments are trying to balance by direct income transfers and schemes like MGNREGA, but the real crux of the problem is the economy is not able to create well-paid dignified jobs.
- India's LFPR at around 40%-45% is lower even compared to its neighbors. LFPR for Bangladesh stands at 53%, Nepal at 74% and Pakistan at 48%.
- The LFPR for women is barely 21%. It is in single digits in states like Uttar Pradesh and Bihar.



WE STRAIGHT AWAY TRANSITIONED TOWARDS SERVICES!

- Because of the rigid market factors like land-labour and at the same time, because of the Government policies, we could not make transition from agriculture to manufacturing.
- We almost practically skipped the manufacturing stage of development and went straight into services.
- The services drives GDP growth for us today. This is where we are globally competitive up to certain extent.



GROWTH IS NOT CREATING ENOUGH JOBS!

Employment elasticity, which indicates the percentage growth in employment per each 1% change in GDP growth has come down from 0.4% in 1990s to 0.2% for the five years preceding 2014, reaching 0.1% in recent years.

EMPLOYMENT ELASTICITY

- It is a measure of the percentage change in employment associated with a 1 percentage point change in economic growth.
- It indicates the ability of an economy to generate employment opportunities for its population as per cent of its growth (development) process.



WHAT ARE THE PROBABLE REASONS FOR LACK OF COMMENSURATE JOB CREATION?

1

INCREASING USE OF TECHNOLOGY

For the most part, during the past two decades, growth is the result of increasing use of technology, and not human labour.



2

MORE MONEY PREFERS MORE TECHNOLOGY

- Now, there is a lot of excess capital in the World economy.
- It ensures that more technology will be used rather than labour in most new enterprises, whether they are in manufacturing or services.



BUT, TECHNOLOGY MAKES BASIC GOODS AND SERVICES ACCESSIBLE TO THE COMMON MAN!

1 DIGITALLY DELIVERED SERVICES

- There is sustained shift towards digitally delivered services in banking, insurance, news, books etc.
- This reduces marginal cost to near zero levels in many cases.



2 DEMATERIALISATION

- In almost every product we buy today, including physical goods, gadgets and equipment, less material is used.
- The modern car uses less fuel, less metals and fewer body parts than the one produced a century ago. This is called Dematerialisation.
- Here, less and less inputs and raw materials are used to produce the same product.

It is detailed in Andrew McAfee's book 'More From Less'.

BUT, TECHNOLOGY MAKES BASIC GOODS AND SERVICES ACCESSIBLE TO THE COMMON MAN!



WHAT IS ITS COMBINED EFFECT?

- The combined effect of the trends towards lower marginal costs and dematerialization will improve affordability, where most Indians, even poorer ones, will be able to buy them.
- Around five to six years ago, we saw a dramatic drop in bandwidth prices. Now it allows even people who can't afford refrigerators to access the internet with a mobile phone.

GLARING INEQUALITIES ARE QUITE EVIDENT DUE TO LACK OF DECENT JOBS!

- Rising GDP growth on one side and increasing unemployment and non-creation of respectable jobs leads to income distribution in a skewed manner.
- The glaring inequalities are quite evident when one looks at various global indicators including recent World Inequality Report.



WHAT ARE THE SECTORS TO LOOK FOR BEYOND AGRICULTURE?

- The real drivers of job growth outside agriculture are
 - ✓ Construction (both infrastructure and real estate)
 - ✓ Textiles and Apparels
 - ✓ Footwear
 - ✓ Tourism
 - ✓ Retail
 - ✓ Logistics
- India has to look at well-paid, decent labor-intensive jobs and it is possible when we shift our concentration towards sectors like Textiles and Apparels, Leather etc.

ECONOMIC SURVEY 2016-17 ... AN INSIGHT INTO CREATION OF JOBS

LET US ASSUME Rs. 10 LAKH LOAN WAS GIVEN BY A BANK!

1. STEEL COMPANY

If the loan is given to a steel manufacturing company, it will create only one job.



2. AUTOMOBILE

If the loan is given to an automobile manufacturer, it will create three new jobs.



3. LEATHER SECTOR

If the loan is given to a producer of leather goods, it will create 70 new jobs.



4. APPAREL SECTOR

If the loan is given to apparel and garment sector, it will create 240 new jobs, including 80 for women.



INDIA HAS COMPARATIVE ADVANTAGE IN SOME OF THE LABOUR INTENSIVE SECTORS!



- Good quality jobs can be created only in sectors that are labour intensive, and where India has a comparative advantage. These sectors are apparel, leather goods, value-added agriculture etc.
- These job-creating sectors depend not only on the domestic market but, significantly, on export markets.
- More than one-half of the leather goods and one-third of the apparel produced in India are exported to other countries.

The Government is already giving thrust through Make in India strategy!

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